

Daily Economic Briefing

Friday 18 September 2026 | Window: Tue 15 Sept close/AH – Thu 17 Sept close/AH, research cutoff approx. 22:43 ET Thu 17 Sept | Session covered: Thursday 17 September 2026 | Edition 23

Assumptions, corrections and status this edition

- Header convention fix: the date line above is this edition's publication date (Fri 18 Sept), not the session it covers (Thu 17 Sept) — editions 20–21 followed this convention correctly; edition 22 did not.
- VIX's headline close is corrected from a CBOE feed math bug: the feed's own price_change_percent field read -14.70%, computed against a broken prev_day_close that duplicated the day's own close. The true move, cross-confirmed against Yahoo Finance's independent report, is -12.82% (15.44 vs. Wednesday's 17.71) — see Section 5.
- October Fed-meeting hike odds have reversed sharply: two venues now show hold-leaning-to-coin-flip pricing (Polymarket approx. 50-52% hold, Kalshi approx. 63% hold), down from the approx. 92% single-sourced hike figure flagged at edition 22. Both are disclosed with venue names rather than forced to one number.
- Bank of Japan's 17–18 Sept decision had not been announced as of this edition's 22:43 ET cutoff (expected approx. 22:30–23:30 ET, straddling the cutoff) — carried as an open thread, not assumed.
- Copper: lme.com's direct site failed fetch for a second consecutive edition (worked ed. 21, failed ed. 22, failed again this run) — used Westmetall.com, a third-party LME-settlement republisher, as a single-sourced fallback. This is starting to look like a pattern rather than a one-off.
- 2-year Treasury yield: the official H.15 print for 17 Sept will not post until Friday. Used CNBC's secondary-market read (approx. 4.67%); a conflicting Trading Economics figure (4.39%, appears mislabeled to an earlier date) could not be reconciled and was discarded.
- Gold and silver did not repeat Wednesday's genuine COMEX-settle-vs-spot FOMC-timing split; Thursday's prints cluster across a range depending on source/timestamp rather than one clean close — the approx. 4:49pm ET Kitco print is cited as primary, with the range disclosed.

60-second read

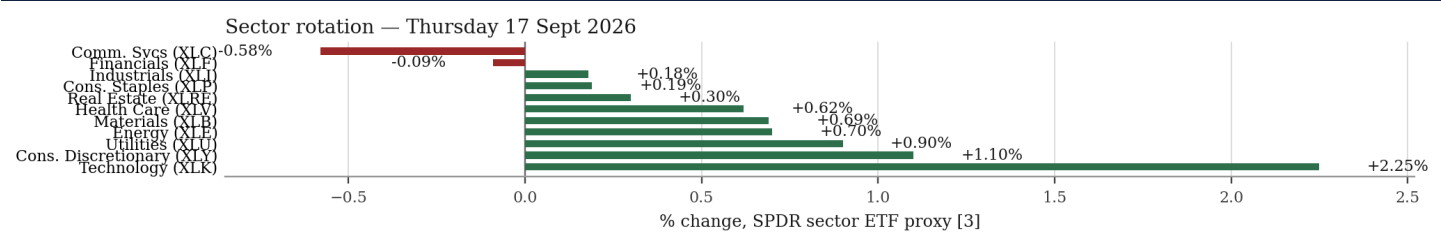
- Wall Street reversed most of Wednesday's post-FOMC selloff** as oil and yields eased: S&P +1.1% to 7,637.76, Nasdaq +1.7% to 26,418.30, Dow +0.6% to 51,778.04, Russell +0.6% to 2,874.63. Technology led (XLK +2.25%) while Financials alone among cyclical stayed red (XLF -0.09%) — banks did not reverse Wednesday's rate-hike losses even as the index rallied.
- VIX was crushed -12.8% to 15.44**, unwinding nearly all of Wednesday's FOMC-day spike to 17.71. The term structure's front-end actually kinked wider in relative terms (VIX9D fell 23% to 13.39) as the FOMC event itself rolled out of the 9-day lookback window — a mechanical effect, not fresh event risk building.
- Single-stock story was broad and idiosyncratic**: Generac +18.3% on an \$8bn Amazon data-center backup-power supply deal; Lucid +10% on a Bolt robotaxi tie-up; Intel +7.7% (extending Wednesday's SK Hynix-talk rally) and Micron +5.5% on fresh memory-shortage commentary; auto retailers were hit, with AutoNation -9.4% to a 52-week low on tariff-inflated sticker prices and elevated dealer inventory.
- Rate-path repricing accelerated**: October hike odds collapsed to a near coin-flip-to-hold range across two prediction-market venues, down from the approx. 92% figure flagged last edition. Bank of England held at 3.75% in an unchanged 6-3 split; Bank of Japan's decision (consensus +25bp to approx. 1.25% from a current 1.00%) remained undecided as of cutoff.
- Day ahead**: the BoJ decision lands imminently; September triple witching (Friday, approx. \$6.2tn in options notional per Citadel Securities) and fresh CFTC CoT data (3:30pm ET, covering 15 Sept) both hit Friday, alongside the Conference Board's Leading Economic Index (10am ET).

1. Market recap

S&P 500 7,637.76 +1.1%	Dow Jones 51,778.04 +0.6%	Nasdaq Composite 26,418.30 +1.7%	Russell 2000 2,874.63 +0.6%	10Y Treasury 4.93% -8bp	VIX 15.44 -12.8%
DXY 100.22 approx. flat			WTI crude \$101.09 -1.3%		

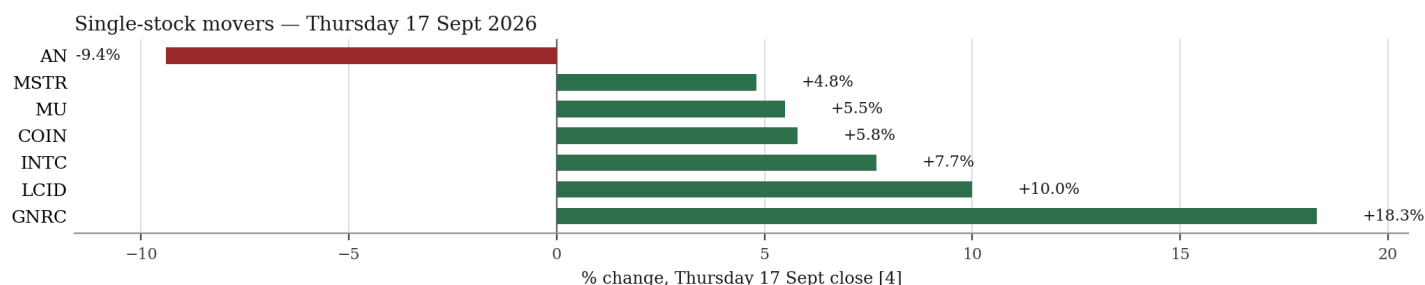
Equities reversed most of Wednesday's post-FOMC selloff as the market digested Wednesday's 25bp hike to 3.75%-4.00% with less alarm a day later^{[1][2]}. Falling oil prices and an easing bond market did the work: the 10-year yield, which had briefly touched a 2007-era high above 5% on Wednesday, fell to 4.93%^[1]. All four major indices closed higher, led by a 1.7% Nasdaq gain as chipmakers rallied; the Russell 2000's more modest 0.6% gain reflects small-caps' greater rate sensitivity even as the broader tape recovered. Financials were the one sector that failed to participate — see Section 2.

2. Equities and earnings



Sector rotation inverted from Wednesday's rate-hike-driven pattern: Technology (XLK +2.25%) and Consumer Discretionary (XLY +1.10%) led, while Financials (XLF -0.09%) was the only S&P sector ETF to close lower, and Communication Services (XLC -0.58%) lagged furthest despite the broad rally^[3]. Bank stocks told the clearest story of a rally that didn't fully reach the group Wednesday's hike hit hardest: Goldman Sachs +1.44% to \$951.47, Bank of America +0.48% to \$58.18, but Wells Fargo -0.18% to \$86.89 and Citigroup -0.19% to \$132.70 — a mixed, muted session for the group that fell 2-4% on Wednesday, not a reversal^[4].

Single-stock movers



Ticker	Move	Driver
Generac (GNRC)	+18.3%	\$8bn long-term supply deal with Amazon for data-center backup generators (\$2.4bn of initial 2027-28 deliveries); Amazon received warrants for approx. 1.69m GNRC shares at \$200.93 ^[5]
Lucid Group (LCID)	+10.0%	New European robotaxi deal with Bolt (25,000 vehicles, Nvidia Hyperion AV architecture, SAE Level 4, targeted 2028 launch); Rivian rose in sympathy ^[8]
Intel (INTC)	+7.7%	Extends Wednesday's +4.0% rally on reported SK Hynix talks over Intel's planned Ohio memory-chip fab; a South Korean national core-technology review could still block any deal ^[6]
Coinbase (COIN)	+5.8%	Rallied with crypto-linked names as risk appetite returned; no single company-specific catalyst identified ^[4]
Micron (MU)	+5.5%	Intel CEO Lip-Bu Tan told the AI Infrastructure Forum memory-chip shortages "will get worse," with memory prices up over 500%; SanDisk also rallied approx. +6.2% ^[7]
Strategy/MicroStrategy (MSTR)	+4.8%	Crypto-linked rally; bitcoin roughly flat around \$76,000-76,400 ^[4]
AutoNation (AN)	-9.4%	Hit a 52-week low (\$176.44) amid sector-wide auto-dealer pressure — elevated unsold inventory and tariff-inflated sticker prices; other dealer names also fell but exact prints were not reconcilable across sources (Annex A) ^[9]

J.B. Hunt, Wednesday's biggest mover at -13.3% on a Q3 guidance warning, was essentially flat Thursday (+0.03% to \$236.80) despite a same-day upgrade from Citizens JMP (Market Perform → Outperform, PT \$300) — a muted reaction suggesting the guidance cut is now priced^[10]. Lennar rose 1.71% to \$79.70 despite missing Q3 EPS (\$1.19 GAAP/\$1.23 adj. vs. \$1.29 consensus) and cutting full-year delivery guidance to 80,000-81,000 units from 82,000-83,000 — the stock's Wednesday after-hours drop on the miss was not extended^[4]. Other notable analyst actions Thursday: Bernstein downgraded Palo Alto Networks, Okta and SentinelOne (Outperform → Market Perform); Guggenheim cut Lyft to Neutral; JPMorgan moved Pegasystems to Neutral; Goldman Sachs upgraded Sunbelt Rentals to Buy; Macquarie upgraded Trip.com to Outperform; RBC initiated Kraft Heinz at Outperform and Susquehanna started Honeywell Aerospace at Positive^[10].

3. Macro, policy and rates

The Federal Reserve is chaired by Kevin Warsh, confirmed fresh this edition directly against the Fed's own Board of Governors page and its own record of Warsh's swearing-in; Jerome Powell remains a Governor, no longer Chair^{[11][12]}. Wednesday's 25bp hike to 3.75%-4.00% (12-0, unanimous) stands confirmed against the Fed's own press release; the next scheduled FOMC meeting is October 27-28, 2026 per the Fed's own calendar (the Fed notes 2026 dates remain "tentative until confirmed at the meeting immediately preceding it")^{[13][14]}. Odds of an October hike have reversed sharply from the approx. 92% single-sourced figure flagged at edition 22: Polymarket now prices roughly a 50-52% chance of a hold vs. 50-51% for a 25bp hike, while Kalshi shows approx. 63% hold / 38% hike / 3% cut — both venues agree directionally that hike conviction has fallen well below the prior read, though they disagree on magnitude^{[18][19]}.

The Bank of England held Bank Rate at 3.75% on Thursday, a 6-3 vote with the same three dissenters (Greene, Mann, Pill) who wanted a hike as at the July meeting. The Bank flagged UK CPI at 3.1% in August and "likely to rise further," with risks to the inflation outlook "tilted to the upside, and more so than at the time of the July Monetary Policy Report"; it also announced plans for gilt sales of up to £20bn annually^[15]. The Bank of Japan's two-day meeting (17-18 Sept) had not produced a decision as of this edition's cutoff — boj.or.jp's own statements page showed no September release as of the research cutoff, consistent with the decision's typical timing (approx. 11:30am-12:30pm JST on the second day, i.e. approx. 22:30-23:30 ET Thursday, straddling our cutoff). Consensus, per a Bloomberg survey of 52 BOJ watchers, is unanimous for a 25bp hike to approx. 1.25% from the current 1.00% rate (held since a June 2026 hike, itself the highest level since 1995)^{[16][17]}.

Thursday's US data was on balance firmer than expected: initial jobless claims fell to 196,000 (from a revised 206,000, beating consensus of 207,000; continuing claims 1.730m), while Philadelphia Fed manufacturing cooled to 37.8 from August's 47.4 but still beat consensus of 30.5^{[20][22]}. August housing starts fell 2.6% m/m to 1,275,000 SAAR (single-family +7.6% to 918,000), with building permits down 2.7% m/m to 1,394,000^[21]. The 10-year Treasury yield fell to 4.93% (AP, confirmed), down from Wednesday's 5.016% close; the 2-year, per CNBC's secondary-market read, fell to approx. 4.67% from Wednesday's official 4.74% H.15 print — the official H.15 print for Thursday itself will not post until Friday^{[23][24]}. No new US-Canada tariff or US-China trade developments were identified in the window, and the White House's plan to expand Section 232 tariffs to refined copper remains stalled per Reuters' most recent (10 Sept) reporting, with nothing newer found^[26]; Iran/Hormuz's Salalah reopening talks remain postponed with no new date, and Saudi Arabia continued running ship-to-ship shuttle-tanker workarounds around the damaged East-West pipeline^{[25][30]}.

4. Commodities and FX

Instrument	Level	Chg	Note
Brent crude	\$104.82	-0.95%	Saudi ship-to-ship workarounds around Hormuz eased near-term supply fears ^{[29][30]}
WTI crude	\$101.09	-1.31%	Same driver; underlying Iran/Houthi risk premium persists per Rapidan Energy ^{[29][30]}

Gold (spot)	approx. \$4,341	+1.83%	Kitco 4:49pm ET print cited as primary; range \$4,300-4,355 across sources/timestamps — no repeat of Wednesday's settle-vs-spot split ^[31]
Silver (spot)	approx. \$65.1-65.4	recovering	Opened lower (Dec futures -2.3%), recovered through the session per Kitco ^[31]
Copper (LME 3-month)	\$14,409/t	approx. +1.1%	Single-sourced via Westmetall.com after lme.com's direct site failed for a second straight edition ^[32]
DXY	100.22	approx. flat	Five-day up streak through Wednesday appears to have broken/paused ^[33]
EUR/USD	Not verified this edition — see Annex A		
GBP/USD	1.3358-1.3381	-0.15% to -0.23%	Weaker on hawkish-tilted BoE hold plus broad USD strength; no single clean 4pm London close found ^[35]
USD/JPY	approx. 156.00	approx. flat	Range 155.34-156.32; yen weakness stalling just under resistance ahead of the BoJ decision ^[34]

Oil fell for a second straight session as Saudi Arabia routed additional crude around the Hormuz chokepoint via ship-to-ship transfers near Oman's Sohar port — Gulf of Oman volumes reportedly rose to 2.7m bpd from 1.5m bpd in August — even as the underlying Iran/Houthi conflict remains live^[30]. Gold and silver both recovered through the session from lower opens, unwinding a chunk of Wednesday's post-Fed spot selloff, though no source offered one clean, uncontested close — the range is disclosed rather than a single figure forced^[31].

5. Derivatives, volatility and positioning

VIX closed 15.44, down 2.27 points (-12.82%) from Wednesday's 17.71 — nearly unwinding the entire FOMC-day spike. This figure required a correction: CBOE's delayed-quotes feed itself reported the change as -14.70%, an artifact of its `prev_day_close` field duplicating the day's own closing print rather than referencing Wednesday's actual close; the corrected math was independently cross-confirmed via Yahoo Finance's market report^{[36][37]}. The term structure remained in contango (VIX9D 13.39 < VIX 15.44 < VIX3M 18.55 < VIX6M 20.30), all on fresh 16:15 ET CBOE timestamps, but the front-end kink widened in relative terms: VIX9D fell 23.1% versus VIX's 12.8% decline, since Wednesday's FOMC decision itself rolled out of the 9-day lookback window — a mechanical effect of the event dropping out of the near-dated window, not evidence of fresh near-term risk building^[36]. No fresh single-stock options-flow or gamma data specific to Thursday's session was found; the most relevant SpotGamma commentary (AI-megacap call-selling replacing put buying) was dated to the prior Friday, 11 Sept, and is not presented as same-day^[38]. CFTC's Commitment of Traders report remains dated 8 September — a 9-day-old lag — with the next release due Friday 18 Sept at 3:30pm ET, covering 15 September positioning^[28]. No repo-market stress signal was identified in the window; the most recent published SOFR print (3.62%, 16 Sept) falls just outside the research cutoff for a same-day 17 Sept figure^[39].

6. The day ahead

Date	Event	Consensus / context
Fri 18 Sept	Bank of Japan decision (announcement pending as of cutoff)	Consensus (52/52 surveyed economists): +25bp to approx. 1.25% from 1.00% ^{[16][17]}
Fri 18 Sept, 10:00am ET	Conference Board Leading Economic Index (Aug)	No consensus figure located this run
Fri 18 Sept	September triple witching	Approx. \$6.2tn in options notional expiring, per Citadel Securities (31 Aug report, data as of 27 Aug) — a several-weeks-old, single-sourced estimate Citadel itself expected to grow ^[27]
Fri 18 Sept, 3:30pm ET	CFTC Commitment of Traders	Covers positioning as of Tue 15 Sept — first fresh CoT data since 8 Sept ^[28]
Ongoing	Iran/Hormuz — Salalah reopening talks	Remain postponed indefinitely at Saudi request; no new date set ^[25]

Sector setup we take into Friday's session

- Technology and semiconductors carry the week's clearest positive momentum (XLK +2.25% Thursday, Intel/Micron rallying on supply and shortage narratives) into a session that also brings triple-witching-driven volume and potential pinning around large open-interest strikes.
- Financials are the sector to watch for a delayed reaction: banks did not reverse Wednesday's hike-driven losses even as the index rallied broadly, leaving XLF as the one sector ETF to close lower Thursday.
- FX and rates desks are positioned around the BoJ: USD/JPY's stall just under 156.30-156.50 resistance, with support eyed at 155.00/154.00, sets up a real swing event rather than a formality if the hike lands as consensus expects.
- Auto retail (AutoNation, and peers with less clean prints) is the week's clearest sector-specific downside cluster, on tariff-inflated pricing and elevated unsold inventory — a thread likely to persist into Friday regardless of the macro tape.

Annex A — Data points sought but not verified this edition

- EUR/USD Thursday close — no reliable source surfaced an exact print this run.
- Exact Sonic Automotive (SAH) % move — sources conflicted materially (5.5% to 9.27%) across same-dated republications; could not pin down one authoritative close.
- Asbury Automotive Group's approx. -3.4% move — sourced only to a search-engine synthesis, not an independently confirmed primary article.
- Bank of Japan's actual 17-18 Sept decision — not yet announced on boj.or.jp as of the 22:43 ET cutoff; only consensus expectations exist.
- Official 2-year Treasury par yield for 17 Sept — H.15 will not post until Friday; a secondary CNBC read (approx. 4.67%) is used, with a conflicting Trading Economics figure (4.39%) discarded as apparently mislabeled to an earlier date.
- NYSE/Nasdaq closing breadth — not obtainable; Reuters' final wrap drops the breadth block (standing gap).
- Dealer gamma / single-stock options positioning specific to Thursday's session — no fresh figure located; SpotGamma's most relevant commentary was dated to the prior Friday.
- CME FedWatch October-meeting probabilities — the page blocks direct fetching; only Polymarket and Kalshi were obtained this run.
- A single, uncontested 4pm-London GBP/USD close — only a narrow range (1.3358-1.3381) across sources was found.
- Exact day-over-day % change for LME copper — the \$14,409/t Thursday print is single-sourced (Westmetall.com) and the day-over-day comparison against Wednesday's SMM-sourced figure is therefore approximate, not a clean apples-to-apples exchange comparison.
- Friday's Conference Board Leading Economic Index consensus estimate — not located this run.
- SOFR print for 17 September — publishes T+1 approx. 8am ET, falling outside this edition's research cutoff.

Annex B — Sources

- [1] AP, "How major US stock indexes fared Thursday 9/17/2026" (via WTOP, Washington Post, wusa9, KRMG mirrors)
- [2] Yahoo Finance/Bloomberg live markets blog, "Stock market today," 17 Sept 2026
- [3] Stockanalysis.com, SPDR sector ETF price history (XLK/XLY/XLU/XLE/XLB/XLV/XLRE/XLP/XLI/XLF/XLC), 17 Sept close
- [4] Stockanalysis.com, single-stock price history (GNRC, INTC, MU, COIN, HOOD, MSTR, GS, BAC, WFC, C, LEN, JBHT), 17 Sept close
- [5] CNBC/Benzinga/24/7 Wall St, Generac-Amazon supply-deal coverage, 17 Sept 2026
- [6] CNBC/Yahoo Finance/Invezz, Intel-SK Hynix Ohio-fab talks coverage, 17 Sept 2026
- [7] Yahoo Finance/Invezz, Intel CEO memory-shortage remarks (AI Infrastructure Forum), 17 Sept 2026
- [8] Yahoo Finance/24/7 Wall St, Lucid-Bolt robotaxi deal coverage, 17 Sept 2026
- [9] Investing.com, AutoNation 52-week-low coverage, 17 Sept 2026
- [10] Yahoo Finance, "Wall Street's top analyst calls," 17 Sept 2026
- [11] federalreserve.gov, Board of Governors biographies page (fetched fresh)
- [12] federalreserve.gov, press release other20260522a.htm (Warsh oath of office)
- [13] federalreserve.gov, press release monetary20260916a.htm (Sept FOMC decision)
- [14] federalreserve.gov, FOMC meeting calendar page
- [15] bankofengland.co.uk, September 2026 MPC decision summary
- [16] boj.or.jp, Statements on Monetary Policy 2026 index page (fetched fresh)
- [17] CNBC, "BOJ holds rates at 1%, warns of core inflation exceeding 2% target," 31 Jul 2026; Trading Economics, Japan interest rate history
- [18] Polymarket, "Fed Decision in October" market
- [19] Kalshi, Fed rate decision market
- [20] AP wire, initial jobless claims coverage (via local10.com/clickorlando.com), 17 Sept 2026
- [21] Census.gov, New Residential Construction report, August 2026
- [22] FXStreet, Philadelphia Fed Manufacturing Business Outlook, September 2026
- [23] Federal Reserve, H.15 Selected Interest Rates (Daily) release
- [24] CNBC, US2Y/US10Y Treasury yield coverage, 17 Sept 2026
- [25] Oman News Agency/CNN/Al Jazeera, Salalah talks postponement coverage
- [26] Reuters, refined-copper Section 232 tariff-stall coverage, 10 Sept 2026
- [27] Cryptobriefing.com, citing Citadel Securities/Scott Rubner Global Market Intelligence report, 31 Aug 2026
- [28] CFTC.gov, Commitments of Traders index and release schedule
- [29] Investing.com, Brent and WTI crude historical price data
- [30] CNBC, "Oil prices today: WTI, Brent, Hormuz, Iran war" and Saudi pipeline-workaround coverage, 17 Sept 2026
- [31] Kitco, gold and silver spot price charts, 17 Sept 2026
- [32] Westmetall.com, LME copper cash/3-month settlement data, 17 Sept 2026
- [33] Investing.com, US Dollar Index (DXY) historical data
- [34] FXStreet, USD/JPY coverage ahead of the Bank of Japan decision, 17 Sept 2026
- [35] Poundsterlinglive.com, GBP/USD close coverage, 17 Sept 2026; StoneX/exchangerates.org.uk corroboration
- [36] CBOE, cdn.cboe.com delayed-quotes JSON (VIX, VIX9D, VIX3M, VIX6M, VVIX, SKEW), fetched fresh
- [37] Yahoo Finance, live markets report confirming VIX close and % change, 17 Sept 2026
- [38] SpotGamma, "AI Stocks Options Positioning: Call Selling, Not Put Buying," dated 11 Sept 2026
- [39] New York Fed, SOFR reference rate API (markets.newyorkfed.org)

Method: every figure traces to a named source in Annex B; where sources disagreed, the better-corroborated figure was used and the conflict disclosed. Nothing estimated or filled from memory — unverifiable items are listed in Annex A. Not investment advice.